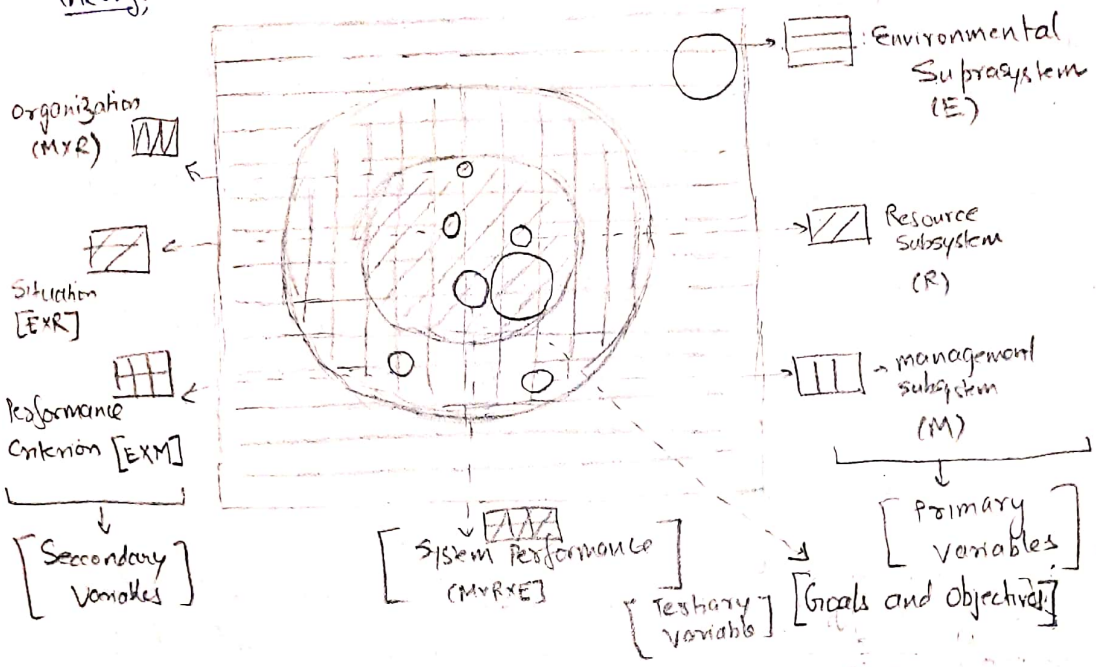
List Down the variables of organization as per the General Contingency Theory;



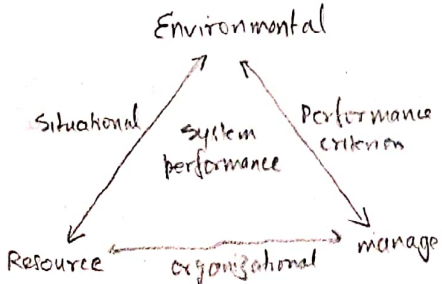
A CONTINGENCY MODEL OF THE ORGANIZATIONAL SYSTEM

by Katz & Kahn, Kast & Rosenzweig and others can be defined as a

"Social system consisting of subsystems of resource variables interrelated by various management policies, practices and techniques which interact with variables in the Environmental Subsystem to achieve a set of goal and objectives

↓ defined as

"constituents of social system, defined as in terms of relevant environmental and resource constraints".



A Summary of the variables and Relationships in a contingency model of the organization

Scanned with CamScanner

Tertiary system variables: (system performance variables) ← product

- 3rd level of hierarchical system variable. generated by interaction of secondary system variables (and therefore constituent primary system variables)
- represent the actual performance output of the organization as measured by relevant performance criteria variables
- goals and objectives are defined as a specific subset of organizational performance variables
- goals and objectives → single most distinctive features of the contingency model. Setting this model apart from theoretical constructs that don't emphasize this important link between theory and practice

Secondary System variables:

[an individual within the organization who has authority to make formal decisions affecting the allocation and utilization of resources]

a) Performance criteria variables:
- A major goal of (for the top level manager (in particular) with strategic decision making concerns → effectively analyze the relevant set of Environmental variables to determine the continuing viability of the organizations performance criteria and associated goals.
- The objective of this analysis is to determine what changes must be made in allocation of available resources to achieve and/or sustain acceptable performance as measured against specific performance criteria.
- of direct significance to manager are organizational goals which are conceived to be desired or acceptable levels of performance.
- determined by intersection of Environmental (E) and Management (M) variable sets

b) Organizational variables:
- The degree to which management is successful in developing structure comparable with its perception of the Environmental subsystem is reflected in organizational performance.
- mngement develops structure in consideration of (among other factors) Environmental variables (∃ correlation (structure, Environment))
- concept of closed-system organizational variables emphasizes that structure is not determined directly or caused by the Environment
- Structure is, in and of itself, a theoretical concept commonly used to describe

Scanned with CamScanner

the set of formalized or sanctioned social relationships existing between members (primary/resource) variables) of the organization system.

- with regard to formal organization, these social relationships have been developed by managers for organizational goal accomplishments
- This characterization should not imply that structure as an organizational variable is completely independent of Environmental variables
- Example: familiar construct of organization structure.
- The Intersection of Resource (R) variable and Managerial (M) variable sets results in secondary subsystem variable set as defined as operational organizational variables
- This set presents a relatively closed-state (closed-system) description of a particular "state" of the organization" at a given point in time, without reference to the Environmental subsystem in which the organization operate.

c) Situation variables:
- This set describes the given state of the organization system with which manager must interact and operate.
- defined by the interaction of Environmental (E) and Resource (R) variables are called situation variables is the secondary subsystem.

d) Secondary system variables. result from interaction of subset of primary variables

The Primary system variables:

a) Relationship between primary variable:
- concerned with the role that management plays in coordinating interaction of the resource subsystem and Environmental suprasystem.
- here the management subsystem served as a "buffer" between the uncertain Environment (i-e) the set of stochastic Environmental variable) and what Thompson called the organization's core technology

b) Management Variables.
- Quantitative variables can be classified into areas such as decision making models and information/data management

Scanned with CamScanner

- Behavioral variables can further be classified into individual (motivational techniques, reward systems, etc) and group / inter-group (organizational development techniques, (leadership style) etc)
- On a more micro perspective, process variables include planning / goal setting organizing, communicating and controlling.
- Recognizing the practical / Experienced nature of the contingency construct process, quantitative and behavioural concepts are all represented as management variables
- Management variables are those concepts and techniques Expressed in polices, practices and procedures used by the managers to operate on available resource variables in defining and accomplishing system objectives.
- a manager is defined as any individual within the organization system having formal authority to make decisions affecting the allocation and utilization of available resources

c) Resource Variable:

- Since the set of resource variables on which the manager operates is a "given" at any particular point in time, they too like Environmental variables are treated as independent variables in the contingency function
- Non-Human Resource variable include such elements as raw materials, plant Equipment, capital and product or service.
- Human-Resource (HR) variables include both demographics characteristics like, numbers, skills, knowledge, size race and age and Behavioral characteristics including individual and social Behaviour and such attitudes (helping) concepts as needs, attitudes, values, perceptions, Expectations, goals, group dynamics and conflict
- Resource variables can be classified as human, non-human.
- In the final analysis, the manager is also (atleast partially) a resource to superiors and a critical factor in the Environment of subordinates.
- A particular system variable can be a resource variable to one manager and an Environmental variable to another manager in the same organization

Scanned with CamScanner

- Example: if an organization depends on the independent commercial trucking industry for delivery of supplies and distributions of products, its means of transportation is an Environment variable effectively.
- Now even though an organization may own its own trucks and employ its own drivers, these drivers, what Employees of the organization (and therefore resource variables) are also likely to be members of Teamsters union and not subject to the total control of management
- The Extent to which management's influence over these operators is limited is a measure of the Environmental quality of this system variable.
- many system variables simultaneously exhibit both resource and Environmental characteristics.
- Should the same organization acquire its own trucks and drivers to gain control of this transportation variable (i.e Expansion of the organization's system boundaries) the transportation factor is now resource variable.
- Clearly particular variables may transfer between resource and Environmental status (with reference to a specific manager or group of managers), as management gains, loses control over such factors
- Tangible / intangible factors over which management has more direct control and on which it operates to produce desired changes in the organizational system or its Environmental Subsystem

d) Environmental variables:

- Representative specific Environmental variables would include customers/clients, suppliers (including labor), competitors, technology and socio-political factors.
- Representative General Environmental variables (by Duncan, Negandhi, ...): cultural, Social, technological, Educational, legal, political, Economic, Ecological and Demographic
- Specific Environmental variables affect the organization directly and significantly, while general Environmental variables have only an indirect influence on the organization and provide a context for the more directly relevant specific factors

Scanned with CamScanner

- Another Important Refinement is to distinguish between specific and general variables

- Example: Environment for a middle manager is not only affected by those factors External to the organization, but, probably more important, by the internal Environment (Eg. the Management policy) over which he/she has no control
- Internal Environmental variables also beyond the direct control of the manager in question, but are within the control of the manager formal organizational system
- External Environmental variables, such as federal legislation, are considered to be outside the organizational system.
  - A distinction is made between external and Internal Environment factors
- As Environmental variables are not subject to the direct control of management they must be considered as "given" or independent variables in the contingency framework

- As organization and its management gain more direct control over a segment of its Environment, this segment is effectively annexed into the organizational system as its boundaries are Expanded

- Thompson: organization can affect Environment in which it Operates
- Such influences are indirect results results of the manager operating more directly on organizational resources to produce some desired change in the system
- These factors affect the organization, but are beyond direct or proactive control of organization's resource managers.

* Thus relevant system variable identification which can be taxonomically classified are important concepts relevant to development of comprehensive contingency theory of management along with conceptually viable System paradigm.
* which is needed to emphasize organization's inherent interaction with its External Environment and internally, organisation is comprised of interrelated subsystems

— Submitted by: Yash Agrawal —
task #2 ; Roll No: 2017/MG-061

Scanned with CamScanner